6. Balance sheet shows the _____ of the business.
   (a) Profitability (b) Financial position
   (c) Sales (d) Purchases
7. Drawings appearing in the trial balance is
   (a) Added to the purchases (b) Subtracted from the purchases
   (c) Added to the capital (d) Subtracted from the capital
8. Salaries appearing in the trial balance is shown on the
   (a) Debit side of trading account (b) Debit side of profit and loss account
   (c) Liabilities side of the balance sheet (d) Assets side of the balance sheet
9. Current assets does not include
   (a) Cash (b) Stock
   (c) Furniture (d) Prepaid expenses
10. Goodwill is classified as
   (a) A current asset (b) A liquid asset
   (c) A tangible asset (d) An intangible asset

Answer

1 (b)	2 (b)	3 (d)	4 (a)	5 (c)	6 (b)	7 (d)	8 (b)	9 (c)	10 (d)

II Very short answer questions

1. Write a note on trading account.
2. What are wasting assets?
3. What are fixed assets?
4. What is meant by purchases returns?
5. Name any two direct expenses and indirect expenses.
6. Mention any two differences between trial balance and balance sheet.
7. What are the objectives of preparing trading account?
8. What is the need for preparing profit and loss account?

III Short answer questions

1. What are final accounts? What are its constituents?
2. What is meant by closing entries? Why are they passed?
3. What is meant by gross profit and net profit?
4. "Balance sheet is not an account"- Explain.
5. What are the advantages of preparing a balance sheet?
6. What is meant by grouping and marshalling of assets and liabilities?

IV Exercises

1. Prepare trading account in the books of Mr.Sanjay for the year ended 31st December 2017:

Particulars	₹	Particulars	₹
Opening stock	570	Purchases	15,800
Sales	26,200	Purchases returns	90
Sales returns	60	Closing stock	860

(**Answer**: Gross profit: ₹ 10,720)

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